

Pennine Connect — Churn Review

Executive summary · prepared for leadership review | confidential
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ANNUALISED CHURN

7.4%

ACTIVE SUBSCRIPTIONS

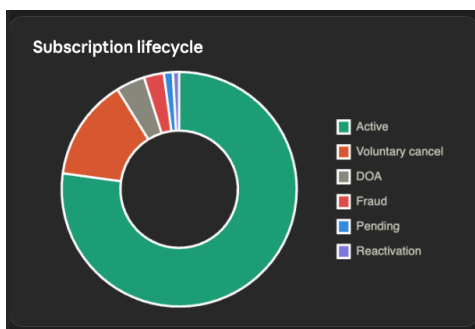
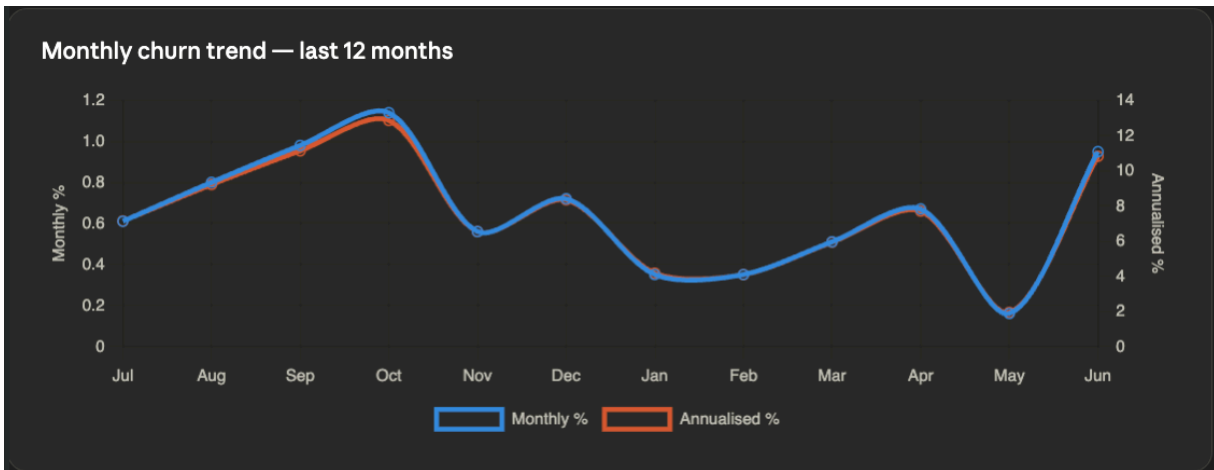
622

CUSTOMERS AT RISK NOW

52

The churn picture

Annualised churn has averaged 7.4% over the last 12 months, moving between roughly 2% and 13% month to month with **no sustained upward or downward trend**. At our current size (600–700 active subscriptions), that range is normal statistical variation, not a business getting worse or better.

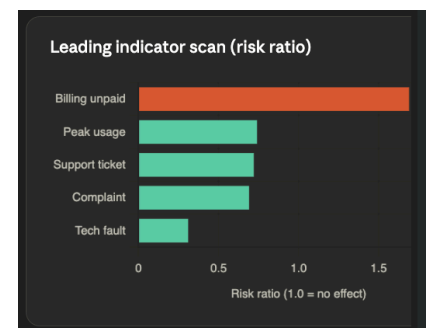


Fraud (22 cases) and dead-on-arrival sales (32 cases that never went live) are tracked separately from churn, since they are different problems with different owners — security/risk for fraud, sales and install process for failed activations — rather than being folded into the retention number and diluting it.

The leading indicator

We tested six behavioural signals to see what predicts cancellation before it happens: support complaints, support tickets raised in the customer portal, technical faults, usage decline, heavy call usage, and billing problems. Four showed no meaningful relationship to churn.

One was a genuine surprise: customers with heavy concurrent call usage churn less, not more — they are our stickiest customers, not our most strained. The one real leading indicator: a customer with an unpaid or part-paid invoice in the last 60 days is approximately 1.7x more likely to cancel than one without.



The recommendation

Route customers with an unpaid or part-paid invoice into a proactive retention call, not just a standard automated payment reminder. Today, billing/collections and retention do not appear to be connected — this closes that gap, catching at-risk customers roughly 60 days before they would otherwise be lost. **52 customers currently carry this flag and are ready for outreach this week.**

Main caveats

- Small sample size: only 113 cancellations in the dataset, so findings are assumptions rather than statistically certain.
- A billing problem may be a symptom of a customer already disengaging, rather than the cause of their leaving. But the recommended action is necessary to close the gap.
- This is a first pass: as more data accumulates, the billing-risk model should be re-tested and refined, ideally into a proper time-to-churn model rather than a binary 60-day flag.